Hawkins, Inc($HWKN)

Evan Hassan
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Recommendation: Short

Share Price	Market Cap	EV	EV / LTM EBITDA	EV / LTM FCF	1Y Return
$130.11	$2,711	$2,996	18.0x	32.7x	-27%

Investment Summary

1) Hawkins re-rated from 15x to 34x trailing P/E since 2023 (9x to 18x EV/EBITDA). This is largely on the back of the Street repricing a regional chemical provider to a water treatment compounder, pushing it to the same forward multiple as Ecolab(~34x). However, I believe this rests on growth and margins bought and cyclical. With ~10% operating margins, HWKN earns roughly half of Ecolab's margin on a business that still distributes commodity chemicals. My reverse DCF shows Hawkins' price requires trading at ~19x EBITDA in FY32.
2) Water Treatment's ~20%+ reported growth is not organic. Without acquisitions, the segment grew only 3%, and just 1% last quarter. Some of the companies it bought are already falling short of their price targets.
3) Recent margin gains came from falling chemical prices and lag effect, not a better business. Industrial margins rose ~3 points in FY25 as chemical input prices fell for two years; those prices are now rising again (sulfuric acid +20% in FFY26). Gross margin fell in every segment in FY26, masked by acquisition-driven mix toward higher-marign water.
4) Hawkins is getting less return on the money it invests. ROIC fell from ~16% to ~12% over two years, and Goodwill/Intangibles grew to 54% of invested capital. The market is paying a premium for growth that is not creating value per dollar investment.
5) The Street sits above my analysis on earnings. My model values Hawkins at roughly $79.92 (DCF $78.48, 12x exit $80.46) per share, far below today's price of $130.11. Even the bull case falls below today's price at $87(-33%). The key risk is a takeout: a strategic or sponsor could pay up for Hawkin's water routes, so we size it accordingly.

Company Overview

Hawkins is a U.S. specialty chemical manufacturer increasingly focused on water treatment. The company was founded in 1938 and is headquartered in Roseville, Minnesota. It supplies chemical ingredients, filtration equipment, and technical services. Unlike Dow or Olin, Hawkins is more of a downstream distribution and formulation business.

***The Three Segments*:** Hawkins has three key business segments.

1) Water Treatment: 50.1% of sales. Supplies chemicals and treatment solutions for municipal drinking water, wastewater, industrial processes, etc.
2) Food & Health Sciences: Supplies ingredients to food, nutrition, and pharma manufacturers. Products include minerals, amino acids, vitamins. The business has more specialty formulations than typical bulk industrial distribution, however there is pricing competition particularly in food ingredients.
3) Industrial Solutions: Hawkins' more traditional chemical business. They buy commoditized chemicals like caustic soda and sulfuric acid in bulk, and resell them to industrial customers.

FY26 ($M)	Sales	% of sales	Operating income	OI margin
Water Treatment	543.3	50.1%	68.1	12.5% (11.4% ex-earnout)
Food & Health Sciences	320.7	29.6%	34.4	10.7%
Industrial Solutions	219.7	20.3%	18.9	8.6%
Total	**1,083.7**	**100%**	**121.3**	**11.2%**

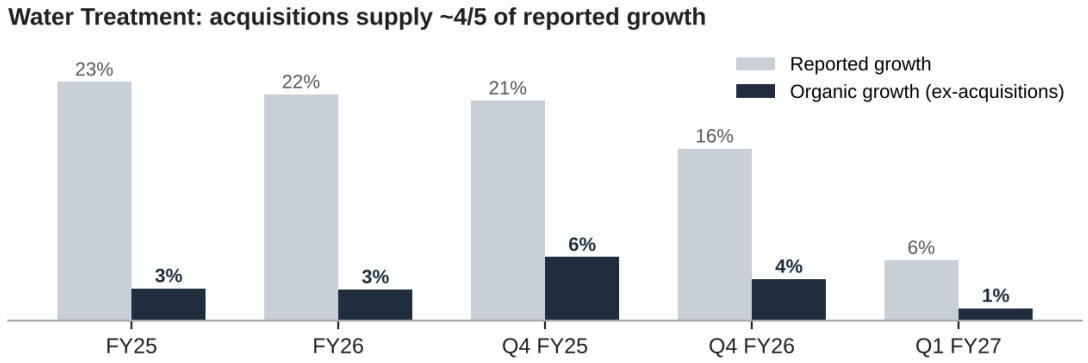
Industry and Positioning

Hawkins sits in the middle of the chemical chain. Producers like Olin and Westlake make Caustic Soda and Chlorine, while Hawkins buys them, adds handling, blending, and delivery, and earns a spread. It has a local moat, as hazardous chemicals are expensive to haul long distances, and customers remain sticky. Although this a real advantage, it pales to competitors like Ecolab.

Company	Business	Fwd P/E	EV/EBITDA	Op. margin	ROIC
Hawkins (HWKN)	**Distribution + water**	**31.5x**	**18.0x**	**10.2%**	**10.6%**
Ecolab (ECL)	Water / hygiene services	32.7x	21.2x	18.4%	13.4%
Veralto (VLTO)	Water quality instruments	20.9x	18.0x	22.8%	23.5%
Cabot (CBT)	Specialty / commodity carbon	11.0x	6.9x	15.3%	11.0%
Olin (OLN)	Chlor-alkali producer	n.m.	7.8x	1.9%	2.7%
Westlake (WLK)	Chlor-alkali, PVC	18.3x	10.7x	1.1%	0.9%

Thesis 1: Water Treatment's Growth is Bought, Not Organic

Investors are treating Water Treatment as the engine, as sales rose 23% in 2025 and 22% FY2026. However, water treatment chemicals are a mature market where volumes track population and water use. A distributor can grow faster than that by taking share, raising price, or buying competitors. Hawkins has mainly done the last.



Organic growth was ~3% in FY2026, and ~1% in Q1 2027 (Hawkins fiscal year ends in late March). Acquisitions are already underperforming, as FY2026 includes a $6.2M net earnout benefit, with a $8.1M cut to the water solutions earnout (FY24 deal). Earnouts fall when the acquired business misses the plan its price was based on. The rest of the company is not filling the gap: companywide organic growth was -1.8% in FY25 and 2.7% in FY 26.

What this means: Without new deals, Hawkins is a low-single-digit grower. My base case still gives Water 5% organic growth in FY2027, fading to 3.5%, and keep management buying $60M of businesses per year.

Thesis 2: Maring Benefitted From Favorable Spreads That Are Now Compressing

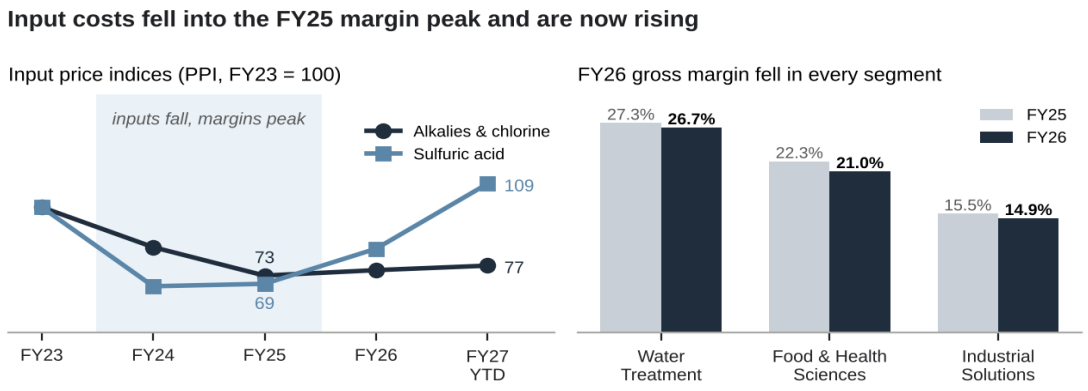


Figure 2: Hawkins gross margin and LIFO benefit (+) or charge (–). Source: StockAnalysis.com; Hawkins FY25 and FY26 releases.

The setup: Bulls read the margin step-up as proof that Hawkins has become a specialty business. This is largely due to the spread between chemical prices increasing.

- **Mix:** Water treatment grew from 40% to 50% of sales, mostly through acquisitions. Durable, but bought.
- **Spreads:** Industrial gross margin excluding LIFO and one-time charges rose form ~15 to ~19%, while industrial sales fell 7%. Input costs fell faster than selling prices: a cyclical spread, not pricing power.

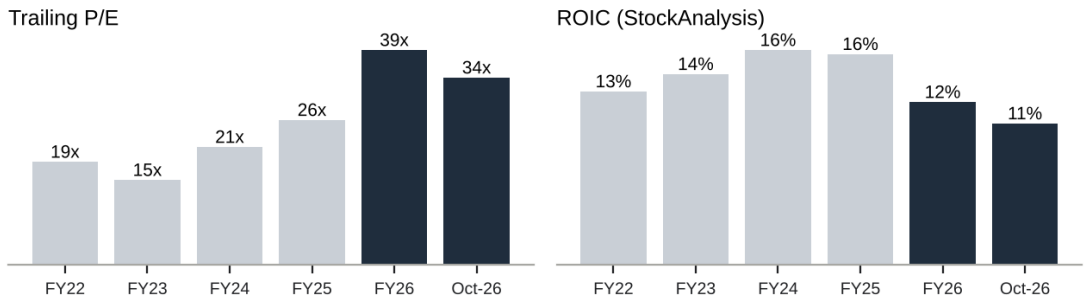
The spread is now compressing, but mix hides it. In FY26 gross margin fell in all three segments, yet the decline was only 0.5 points because higher-margin Water rose to 50% of sales. Management cited material costs (LIFO0 and lower Food & Health Sciences selling prices from competitive pressure. Operating margin excluding earnouts fell from 12.4% to 10.6%, even as sales grew by 11%. Input costs have turned, as Sulfuric Acid prices rose 20% in FY26 and ~39% YoY in Q1 FY27, while Alkalines and Chlorine rose 3% in Fy26.

What it means: I do not need margins to collapse: My base case holds segment margins at FY26 levels excluding the earnout benefit. The risk to this thesis is that input costs fall again (analysts cited softer caustic pricing at Olin this fall), which could re-awake the spreads).

<u>Thesis 3: Returns on Capital Are Falling While the Multiple Expands</u>

The Setup: A premium multiple is justified when each dollar reinvested earns well above the cost of capital. Hawkins' reinvestment has shifted from plants to buying other distributors, which brings goodwill, intangibles and earnouts and earns less than the core business did.

The multiple doubled while returns on capital fell



- Invested capital rose from $507M(FY24) to $841M(FY26) while after-tax operating profit rose only from $77M to $85M: an incremental return of ~2% on ~334M of new capital, below a WACC of ~9.3%. Some FY26 deals closed mid-year, so this will improve somewhat.
- FCF after acquisitions was -$17M in FY25 and -$81M in FY26, and diluted EPS has been roughly flat for three years ($3.59, $4.03, $3.91).

Valuation

I value Hawkins with a segment-level DCF (FY27-FY32) and a 12x exit multiple, roughly Hawkins' own FY22-FY25 average EV/EBITDA (11.9x) before the FY26 re-rating. WACC is ~9.3% (5.25 risk-free-rate, 0.75 beta, 5.5% equity risk premium, 0.5% size premium) and terminal growth 5%. Net debt includes the $49M earnout liability.

Scenario	Key assumptions	DCF	Exit (12x)	Blended PT	vs. $130
Bull	7%→4.5% Water organic; margins back to FY25 peak; deals at 8.5x	$105.69	$105.89	$105.79	−19%
Base	**5%→3.5% Water organic; FY26 margins ex-earnout; $60M/yr of deals at 10x**	**$78.48**	**$80.56**	**$79.52**	**−39%**
Bear	~3% Water organic (FY25–26 run-rate); margins 50–100bp lower; deals at 11x	$64.26	$66.85	$65.56	−50%

- **What the price requires.** My reverse DCF shows that at today's margins and returns on capital, 4130 requires ~34% annual revenue growth for a decad; even with Ecolab-like margins and double today's returns, it requires ~10%, about three times Hawkins' organic rate. In my base case, the stock is worth $130 only if Hawkins still trades near ~19x EBITDA in FY32.
- **Sum of the parts**: Even valuing Water Treatment at the Ecolab/Veralto median (~19.6x estimated segment EBITDA) and the rest at 10x gives ~112 per share. Justifying $130 require Water at ~23x, above both Ecolan (21x) and Veralto(18x). Segment EBITDA is my estimate.

Risks and Catalysts

- **Takeout (largest risk).** A strategic buy or sponsor could pay a premium for Hawkins' water routes. I size the position for this.
- **Organic re-acceleration.** Q1 FY27 Food & Health Sciences grew 9% and Industrial Solutions 10%. Water organic growth above ~6% for two quarters would weaken thesis 1 .
- **Regulation.** Stricter drinking-water standard could raise chemical treatment demand.
- **Input costs fall again**. Softer caustic soda pricing would re-widen Hawkins' spreads and weaken Thesis 2.
- **Squeeze**. Short interest is 6.6% of float with 7.7 days to cover, and the stock is already 27% below a year ago.